

Strategy Brief — Premium Detergent Market Re-Entry

Prepared for: Board of Directors

Prepared by: Corporate Strategy Office

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This document consolidates historical context, market assessment, and strategic options for the Board's consideration. Financial quantification is provided separately in the Internal Financial Brief (see Nirma_Internal_FinancialBrief_FY25.xlsx). Decisions on capital commitment will be subject to subsequent resolution.

1. Founder's Legacy and Brand Heritage

The Nirma story, which began in 1969 when Karsanbhai Patel started producing detergent powder in the backyard of his small home in Ruparel village, has become one of the most celebrated examples of Indian entrepreneurship in the post-Independence era. For nearly six decades, the name Nirma has been associated with affordability, accessibility, and the democratization of quality household products for the Indian middle class and the aspiring rural consumer.

Mr. Patel's original innovation was not merely a cheaper detergent. It was a business model that cut out intermediary margins through direct distribution, cycling between villages on his bicycle and selling sachets at prices that Hindustan Lever's Surf could not match at the time. This ground-up distribution philosophy remained the bedrock of Nirma's approach through the 1970s and 1980s as it became the largest detergent brand in India by volume.

The iconic jingle 'Washing powder Nirma, doodh si safedi Nirma se aaye' entered the Indian cultural consciousness and is still widely recognised by consumers across generations. Market research commissioned by the Company in 2023 found that brand recall for the Nirma jingle among consumers aged 35–65 stood at 94%, higher than for any other FMCG brand in India. The girl-in-white-frock advertising imagery, featuring the founder's daughter Nirupama, is studied in Indian marketing textbooks as an example of emotional brand building.

In the 1990s and early 2000s, Nirma diversified into adjacent categories — toilet soaps, edible oils, processed foods, salt, and ultimately into industrial chemicals (soda ash) and cement. The soda ash business eventually led to the demerger into Nirma Chemicals Ltd, and the cement business was built into Nuvoco Vistas Corporation Ltd, one of India's top-5 cement manufacturers. The Company also established Nirma University in Ahmedabad in 2003, now one of India's leading private universities with over 12,000 students.

This historical context is important for the Board to keep in mind as the Company considers re-entry into the premium segment. Nirma's historic brand equity skews heavily toward the mass/economy tier. Any premium play must be evaluated with that heritage as both an asset (awareness, trust, distribution) and a constraint (consumer perception, potential premium-positioning friction).

2. Global Detergent Industry Context

The global laundry detergent market was valued at approximately USD 83 billion in calendar year 2024 and is projected by Euromonitor to grow at a CAGR of roughly 4.1% through 2030. North America and Western Europe together account for approximately 38% of global value, though their volume growth has been flat. Asia-Pacific, led by China and India, contributes over 42% of global volume and is the principal growth engine.

Globally, three trends are shaping the category: (i) the shift from powder to liquid detergents, particularly in developed markets where liquid penetration has crossed 65%; (ii) the rise of concentrated and ultra-concentrated formats that reduce packaging waste; and (iii) the mainstreaming of 'eco' or 'bio' detergents driven by European regulatory pressure. Procter & Gamble, Unilever, Henkel, and Reckitt dominate approximately 58% of global value share between them. Chinese players such as Liby and Blue Moon are growing rapidly in the Asian context.

Nirma's international presence is limited. The Company exports to Bangladesh, Sri Lanka, and a handful of Middle Eastern and African markets, but international revenue in FY25 was less than 4% of total detergent segment revenue. The re-entry decision under consideration in this brief pertains solely to the Indian domestic premium segment and does not contemplate any international expansion at this stage.

The Board should note that global trends generally precede Indian market trends by 5–8 years. The India premium and liquid segments are still in early-to-mid growth phases, similar to where the Chinese market was in approximately 2015–2017. This suggests a structural tailwind for any credible premium or liquid play, provided the Company invests ahead of the curve rather than reacting after the growth phase has peaked.

3. Corporate Social Responsibility and Sustainability

Nirma has maintained a consistent commitment to corporate social responsibility across its operational history. The Company's CSR spend in FY25 was Rs 38 Cr, distributed across four pillars: education (Nirma Education and Research Foundation, supporting Nirma University), healthcare (Nirma Memorial Trust operating rural mobile health clinics in Gujarat), women's livelihood programs, and environmental conservation around the Company's manufacturing sites at Kalol, Mandali, and Moraiya.

On environmental sustainability, the Company has taken several steps over the past five years. Manufacturing facilities have reduced specific water consumption by 22% over the FY20–FY25 period. Solar capacity of 18 MW was installed at the Kalol and Mandali sites in FY23 and FY24, meeting approximately 28% of captive power needs. Packaging intensity has been reduced by 11% through migration to lighter BOPP films and elimination of redundant secondary packaging.

The detergent formulation itself has been progressively reformulated to reduce phosphate content and to incorporate biodegradable surfactants in the premium-adjacent range. While these moves are consistent with regulatory trajectory in India and the evolving consumer mindset, the Board should note that the Premium Re-Entry decision under consideration does not rise or fall on sustainability claims. India consumer willingness-to-pay for 'green detergent' remains concentrated in the top two deciles of urban consumers and does not yet constitute a standalone economic case for premium pricing in the broader premium segment.

CSR spend and sustainability capex are tracked separately from commercial capex and are not components of the Rs 450 Cr Premium Re-Entry capex envelope being considered in this brief.

4. Nuvoco Vistas — Cement Segment Standalone Review

This section is included for completeness of the Group-level view, though the Board will note that Nuvoco Vistas operates as a separately listed entity and its capital allocation decisions are governed by Nuvoco's independent Board. The Company holds 71.93% economic interest in Nuvoco as of 31-March-2026.

Nuvoco operates 11 cement plants across eastern and central India with installed capacity of 23.8 MTPA. FY25 sales volume was approximately 18.9 MT, implying a blended utilisation of 79%. Realisations improved by 2.8% over FY24, and EBITDA per tonne for FY25 was Rs 878 on a blended basis. The Eastern India cement market remains structurally attractive, and Nuvoco's strategic priority is premiumization of its product mix through brands such as 'Duraguard' and 'Concreto'.

The Nuvoco capex plan for FY26–FY28 is independent of Nirma's detergent capex plans and will be funded through Nuvoco's own operating cash flows, supplemented if needed by debt at the subsidiary level. There is no cross-subsidy or capital routing between the cement business and the detergent business under consideration in this brief.

The Board Secretariat has confirmed with Nuvoco's Corporate Secretarial team that the proposed Premium Detergent capex of Rs 450 Cr will not be funded from dividends received from Nuvoco in the current year. The capex will be funded from Nirma Standalone's own operating cash flows and, if required, a modest increase in standalone borrowings within the 0.4x Debt/EBITDA ceiling set by the Board.

5. India Premium Detergent Market — Landscape Assessment

The India premium detergent segment, defined by Nielsen as SKUs priced at or above Rs 240 per kg equivalent, has grown from approximately Rs 9,600 Cr in FY20 to Rs 18,000 Cr in FY25, a CAGR of 13.4%. Nielsen's base-case projection for FY30 places the segment at Rs 32,000 Cr, implying a forward CAGR of 12.2%. The segment is dominated by Surf Excel (Hindustan Unilever), Ariel Matic (Procter & Gamble), and Tide Plus (Procter & Gamble), which together account for approximately 74% of segment value.

Nirma's presence in this segment is currently negligible — approximately Rs 60 Cr of FY25 revenue, or 0.3% share. Nirma's historic attempt at premium positioning in the mid-2000s under the 'Nima' brand did not achieve scale and was effectively wound down by 2012. Any re-entry must therefore be treated as a genuinely new market entry rather than as an extension of existing consumer relationships.

The strategic rationale for re-entry rests on three observations. First, the premium segment is the only tier of the detergent market with double-digit forward growth. Second, premium EBITDA margins at 14–17% exceed mass-segment margins of 8–10%, providing an attractive incremental return profile. Third, the Company's distribution depth in tier-3 and tier-4 towns provides a geographic edge over MNC competitors who are still concentrated in metros and tier-1 cities.

5.1 Target SAM and Go-to-Market

For the purposes of the re-entry case, the 'Serviceable Addressable Market' is defined as the India premium detergent market in FY30 (Rs 32,000 Cr per Nielsen projection) limited to the urban and semi-urban distribution footprint that Nirma can realistically serve via its existing network plus modest incremental investment. Corporate Strategy estimates this footprint covers approximately 72% of the national premium market. The Premium Detergent SAM for FY30 is therefore estimated at approximately Rs 23,000 Cr (Rs 32,000 Cr × 72%).

The Target SOM is 14% market share in the served footprint (per Board Mandate tab in the Internal Financial Brief), which translates to approximately Rs 3,220 Cr of Year-5 revenue from the premium re-entry initiative, in addition to the core continuing-operations detergent base.

5.2 Continuing-Operations Detergent Base

The continuing-operations base for FY25 detergent segment revenue must be determined carefully. As disclosed in the Notes to Accounts (see Note 7 of the Financial Brief), the headline figure includes certain components that will not form part of the continuing detergent business going forward. The base figure applicable for the Board Mandate's CAGR projection is the auditor-certified continuing base, not the headline figure. The Board explicitly directed that 'All forward-looking segment analyses must be based on CONTINUING OPERATIONS ONLY.'

6. Competitive Response Scenarios

Any premium re-entry by Nirma will provoke a response from incumbents. The Strategy Office's assessment of likely competitive responses is summarised below. These are hypotheses; no commercial intelligence has been obtained that would confirm any specific competitor move.

Hindustan Unilever (Surf Excel): HUL has historically defended share aggressively in the premium segment. An expected response is a 6–10% temporary price rollback on flagship Surf Excel Matic SKUs for 3–4 quarters, combined with increased A&P spend of approximately Rs 80–120 Cr on the brand over the entry window.

Procter & Gamble (Ariel, Tide Plus): P&G is more likely to respond via innovation and new variant launches (e.g., new sensorial variants, laundry capsules) than via direct price cuts. Their typical innovation refresh cycle in premium detergent is 14–18 months.

Reckitt (Vanish): Reckitt does not directly compete in the broader premium detergent segment and is unlikely to be a material competitive threat to the re-entry.

Emerging D2C brands (The Better Home, Koparo Clean, etc.): D2C natural/eco detergent brands are growing fast online but from a small base. Combined FY25 revenue for the D2C long tail is estimated at Rs 320–400 Cr. These brands are not material to the Year-5 SOM target but should be monitored.

7. Key Risks

7.1 Execution Risk

The Company has not operated a premium detergent brand at scale in over a decade. Talent, supply chain, and route-to-market discipline for premium SKUs will need to be built. Execution risk is assessed as MEDIUM-HIGH.

7.2 Margin Compression Risk

If the competitive response is more aggressive than modeled, the Year-3 to Year-5 EBITDA margins assumed at 15.5% could compress to 12–13%. Sensitivity analysis in the Financial Brief quantifies this.

7.3 Cannibalisation Risk

Potential cannibalisation of Nirma's existing mass detergent volume is assessed at 3–5% of Year-5 mass detergent revenue. This has been explicitly excluded from the incremental revenue build.

7.4 Macroeconomic Risk

A broad-based slowdown in Indian consumer spending could depress the premium segment growth rate. However, premium detergent has historically been less cyclical than discretionary FMCG categories.

8. Decision Framework for the Board

The Board is asked to deliberate the Go / No-Go decision on the basis of whether the project IRR clears the 18.0% hurdle set in the Board Mandate. Quantification, including the sizing of the FY25 continuing-ops base, Year-5 revenue, EBITDA projection, capex deployment, and IRR, is provided in the Internal Financial Brief. The financial quantification must strictly respect the Board's directive that CONTINUING OPERATIONS are the basis for projections.

The Strategy Office's qualitative read on the opportunity is constructive: the segment is growing, margins are attractive, and Nirma's distribution edge is real. However, the Go / No-Go must be driven by the IRR number, not by the qualitative read. Should the project IRR clear 18% on the continuing-operations base, the Strategy Office would support a GO recommendation. Should it fall short, a NO-GO is mandated.

Appendix A — Edible Oils and Healthcare Segment Summaries

Edible Oils and Foods — FY25 Highlights

The Edible Oils and Foods segment contributed Rs 860 Cr of revenue in FY25, a growth of 4.9% over FY24. The primary brands are 'Nirma Shudh' refined sunflower oil, 'Nirma Pure' mustard oil, and the 'Nirma Namak' branded iodised salt. Iodised salt volumes grew 7.2% year-on-year. Edible oil volumes were flat, reflecting pricing pressure from commodity-driven erosion in realisations. Segment EBITDA margin of 6.1% remains structurally low and is not a priority for incremental capex in the current planning cycle.

Healthcare (API Manufacturing) — FY25 Highlights

The Healthcare segment comprises three API manufacturing units in Gujarat producing Diclofenac, Ibuprofen, Metformin HCl, Paracetamol, and Aspirin. FY25 revenue was Rs 540 Cr with EBITDA margin of 8.4%. The segment's primary customers are Indian generic pharma formulators. A proposed USD 18 million capex for the Ahmedabad Unit-2 expansion is under separate evaluation and is not part of the Detergent Re-Entry decision.

Appendix B — Historical Advertising and Promotion Spend

A&P spend as a percentage of detergent segment revenue has trended as follows: FY20: 4.2%; FY21: 4.6%; FY22: 5.1%; FY23: 5.8%; FY24: 6.3%; FY25: 6.7%. The upward trajectory reflects both competitive pressure from Ghari and HUL and the Company's own investment in brand refresh campaigns. The FY26 A&P envelope has been set at 8.0% of detergent revenue, with the incremental Rs 80 Cr earmarked for premium re-entry launch campaigns.

Media mix has shifted materially over the five-year period: television spend declined from 68% of A&P in FY20 to 44% in FY25; digital spend rose from 12% to 38% in the same period. Out-of-home and print have declined broadly in line with sector trends.

The proposed premium re-entry launch plan assumes a front-loaded A&P spend of Rs 80 Cr in Year-1, tapering to Rs 40 Cr in Years 2 through 5. This is treated as opex and does not form part of the Rs 450 Cr capex envelope under Board consideration.

Appendix C — Governance Trail

This brief has been reviewed and cleared by the Chief Strategy Officer on 24-March-2026, by the Chief Financial Officer on 26-March-2026, and by the Managing Director on 27-March-2026. The document has been circulated to all Board members 72 hours in advance of the Board meeting scheduled for 31-March-2026 in accordance with the Board Charter.

The Audit Committee has separately reviewed the Notes to Accounts underlying the FY25 financial figures cited in this brief, most recently at its meeting on 18-March-2026, and has confirmed that the segment disclosures are in compliance with Ind AS 108.

— END OF STRATEGY BRIEF —